VIZAG STEEL PLANT

A STEELY RESOLVE

By Amarnath K. Menon



Exactly 53 years after the Visakhapatnam Steel Plant, as it was called, was inaugurated on April 17, 1970, India's second-largest steel-making public sector unit (PSU) is resisting its transition into private hands. While Andhra Pradesh and its people are fighting to save the country's shore-based integrated steel plant run by the Rashtriya Ispat Nigam Limited (RINL), the ruling Bharat Rashtra Samithi (BRS) in Telangana, too, has expressed sympathy for the anti-privatisation sentiment. Andhra Pradesh, however, does not want its neighbour's support, which is being seen as an attempt to 'secure the entity' through investment by the Singareni Collieries Corporation Limited (SCCL), in which the Telangana government holds a 51 per cent stake. However, while the SCCL has deputed a team to take stock on the ground, it was not among the 22 bidders that submitted Expressions of Interest (EoI) before the April 15 deadline, which was later extended to April 20 to broadbase the bidding process.

RINL has been facing a shortage of raw material and working capital to keep the plant running. On March 27, it invited EoI from private companies and steel manufacturers to infuse Rs 5,000 crore worth of working capital, supply raw material and purchase its products. In a first, RINL even mooted the idea of swapping raw material with finished steel.

Earlier, the Jagan Mohan Reddy-led state government had suggested that in order to ensure RINL's financial turnaround, its short- and long-term loans be converted into equity, easing the repayment pressure and the interest burden. The steel plant has a debt of Rs 22,000 crore, on which it pays interest of 14 per cent.

The BRS, meanwhile, has jumped into the fray, taking up cudgels against the Union government's disinvestment initiatives. "When RINL faced financial crisis in the past, Prime Minister P.V. Narasimha Rao and Atal Bihari Vajpayee bailed the PSU out by extending financial support," K.T. Rama Rao, the working president of the BRS and Telangana's industries minister, said in an open letter to the Union government on April 2. He also alleged that the Union government's reluctance to allot iron ore from Bailadilla in Chhattisgarh for the proposed Bayyaram steel plant in Telangana and the Kadapa steel plant in Andhra Pradesh is inspired by the ulterior motive of handing it over to the Adani Group. Telangana's pink party even boasted that the state is examining the possibility of entering a bid for funding working capital. On April 11, KTR said that the objective behind sending the SCCL team was to protect the interests of the Telugu people being harmed by the Union government's plan to privatise RINL. With SCCL not filing a bid by the April 15 deadline, analysts say the

THE YSRC CANNOT UNDERSTAND WHY THE BRS SHOULD SHOW INTEREST IN A PLANT THAT IS LOCATED IN ANDHRA PRADESH. IS IT JUST TO CASH IN ON AN EMOTIVE ISSUE?